

Assignment questions

1. Over the years, Amazon has attempted to enter the payment market, starting with Amazon Pay in 2007 and later on with Amazon Cash, Amazon PayCode, and Amazon Currency Converter. Yet, as of today, it is still struggling. In contrast, Alibaba in 2004 launched Alipay, which immediately became a huge success – within and outside Alibaba's marketplace.

Why was Alibaba able to successfully grow its payment network while Amazon struggles?

2. What do you think which financial market (Chinese or US) is more attractive for big tech and fintech companies? Why?
3. Do you expect Amazon to be more successful with lending than it was with payments? If so, why?
4. Amazon, Square, and Ant offer loans to their merchants. Which of these three companies do you think is the best positioned to offer such loans? Why?
5. Thinking about the US market, do you see Amazon as a threat to traditional financial institutions in the SME lending business? Is Amazon well-positioned to enter the consumer banking market?
6. Which big tech company (if any) do you think poses the largest threat to banks in the USA?

In your solution, consider all banking topics and aspects which we've had during this quarter:

- functions of traditional banks
- payment services (accounts, payments, deposits, etc.)
- retail and corporate lending
- risks: credit, market, operational
- ethical banking
- regulations